AI EQUITY RESEARCH

April 26, 2026

UnitedHealth Group Incorporated

UNH • Healthcare • Healthcare Plans

RATING
SELL
MEDIUM conviction

Next Earnings: 2026-04-21 EPS est. 4.84 Rev est. $110.9B

CURRENT PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MARKET CAP
$354.92	$263.03 Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model	-25.9%	$322.3B

Summary — The stock is expected to trade at its fair value of $263.03, which implies a 25.89% downside from the current price, based on a WACC of +5.48% and an enterprise value of $286.85B.

WACC / COST OF EQUITY	5.48%	EV / EBITDA	17.3x
ENTERPRISE VALUE	$286.8B	P / E	26.7x
VALUATION MODEL	DCF_FCFF	P / S	0.7x

Investment Thesis

Bull Case

The stock could be driven significantly higher if the company exceeds its projected revenue growth, particularly if it can sustain or increase its operating margin of 0.$4237.1T. This could lead to higher free cash flow to the firm (FCFF), which is currently projected to be $6.9B, $7.4B, $8.3B, $9.1B, and $9.6B over the next five years.

- Exceeding projected revenue growth of $513.1B, $552.7B, $618.0B, $671.8B, and $709.4B over the next five years
- Sustaining or increasing the operating margin of 0.$4237.1T
- Increasing FCFF beyond the projected amounts

Base Case

The most likely scenario is that the stock will trade at its fair value of $263.03, which implies a 25.89% downside from the current price of $354.92, as stated in 'Fair value implies a 25.89% downside from the current price.'

$263.03, which is based on a WACC of +5.48% and an enterprise value of $286.85B

Bear Case

The stock could experience significant downside if the company fails to achieve its projected revenue growth or if its operating margin declines. This could lead to lower FCFF and a decrease in the company's enterprise value of $286.85B.

- Failure to achieve projected revenue growth
- Decline in operating margin
- Increase in WACC or beta

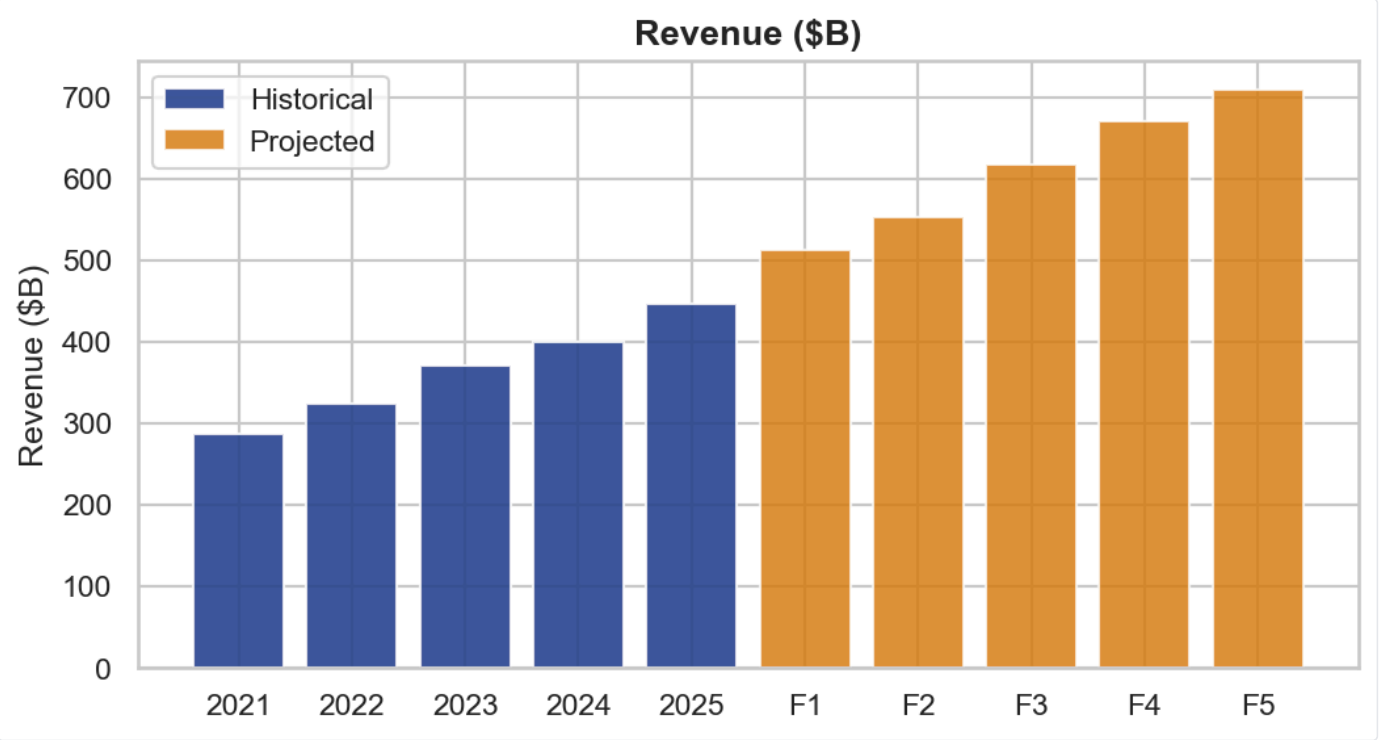
Key Catalysts

- Release of upcoming quarterly earnings reports
- Changes in the company's operating margin or revenue growth
- Updates to the company's guidance or projections

Financial Analysis

Historical Financials (SEC EDGAR — last 10 periods)

Period End	Revenue	Gross Profit	Operating Income	Net Income	CFO	CapEx	Equity	EPS
2025-12-31	$447.6B	n/a	$19.0B	$12.1B	$19.7B	$3.6B	$100.1B	$13.28
2024-12-31	$400.3B	n/a	$32.3B	$14.4B	$24.2B	$3.5B	$98.3B	$15.64
2023-12-31	$371.6B	n/a	$32.4B	$22.4B	$29.1B	$3.4B	$94.4B	$24.12
2022-12-31	$324.2B	n/a	$28.4B	$20.1B	$26.2B	$2.8B	$81.5B	$21.47
2021-12-31	$287.6B	n/a	$24.0B	$17.3B	$22.3B	$2.5B	n/a	$18.33
2020-12-31	n/a	n/a	n/a	n/a	n/a	n/a	n/a	—
2014-12-31	n/a	n/a	n/a	n/a	n/a	n/a	$32.5B	—
2013-12-31	n/a	n/a	n/a	n/a	n/a	n/a	$32.1B	—
2012-12-31	n/a	n/a	n/a	n/a	n/a	n/a	$31.2B	—
2011-12-31	n/a	n/a	n/a	n/a	n/a	n/a	$28.3B	—



Source: Historical bars from SEC EDGAR XBRL filings (10-K/10-Q annual revenue). **F1–F5** = projected Forecast Years 1 through 5, computed by the DCF engine (no LLM): starting from the latest reported revenue, growth for years 1–3 is set to the trailing 3-year YoY growth rate, then fades linearly toward the terminal growth assumption (2.5%) by year 5. Year-by-year growth rates used: 14.6%, 7.7%, 11.8%.

Quarterly Trend (last 8 quarters)

Period End	Revenue	Operating Income	Net Income	CFO
2025-09-30	$113.2B	$4.3B	$2.3B	—
2025-06-30	$111.6B	$5.2B	$3.4B	—
2025-03-31	$109.6B	$9.1B	$6.3B	$5.5B
2024-09-30	$100.8B	$8.7B	$6.1B	—
2024-06-30	$98.9B	$7.9B	$4.2B	—
2024-03-31	$99.8B	$7.9B	$-1.4B	$1.1B
2023-09-30	$92.4B	$8.5B	$5.8B	—
2023-06-30	$92.9B	$8.1B	$5.5B	—

Key Ratios (most recent year)

Category	Metric	Value
Profitability	Gross Margin	—
Profitability	Operating Margin	4.24%
Profitability	Net Margin	2.69%
Profitability	Cost Ratio	11.32%
Returns	Roe	12.05%
Returns	Roa	3.89%
Returns	Roic	11.16%
Leverage	Debt To Equity	72.25%
Leverage	Debt To Assets	23.36%
Leverage	Debt To Ebitda	—
Leverage	Equity Multiplier	3.09x
Leverage	Interest Coverage	4.74x
Efficiency	Asset Turnover	1.45x
Efficiency	Receivables Turnover	—
Efficiency	Days Sales Outstanding	—
Efficiency	Inventory Turnover	15.35x
Valuation	Market Cap	$322.3B
Valuation	Enterprise Value	$370.3B
Valuation	Pe Ratio	26.73x
Valuation	Ev To Revenue	82.74%
Valuation	Ev To Ebitda	—
Valuation	Price To Book	3.22x
Valuation	Price To Sales	72.02%
Valuation	Earnings Yield	3.74%
Valuation	Fcf Yield	—

Valuation — Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model

FAIR VALUE

$263.03

-25.9% vs current

DCF — FCFF 2-Stage

ENTERPRISE VALUE	$286.8B	WACC	5.48%
EQUITY VALUE	$238.9B	TERMINAL VALUE (UNDISC.)	$328.9B

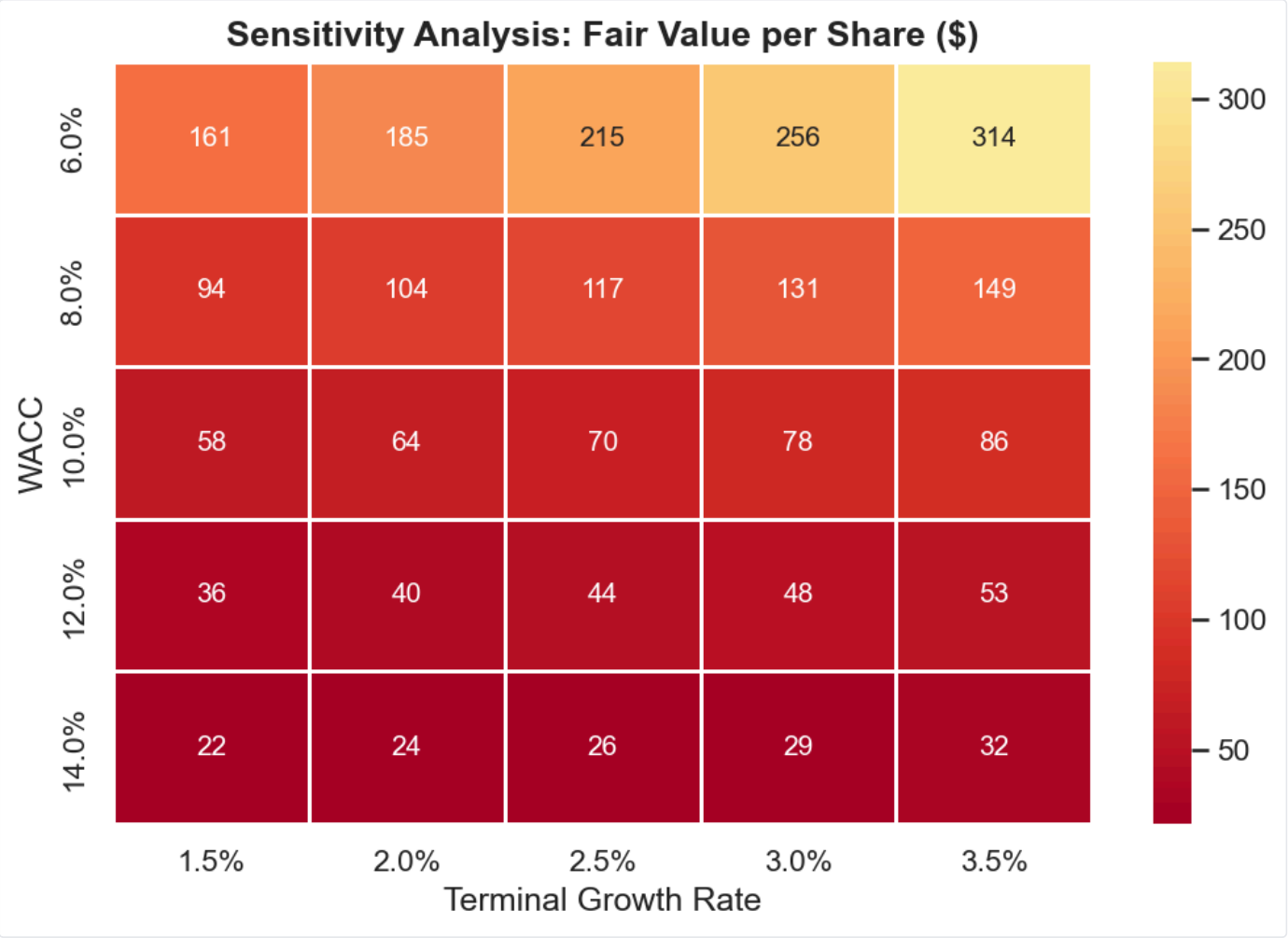
REVENUE PROJECTION ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
513.1	552.7	618.0	671.8	709.4

PROJECTED FCFF ($B)

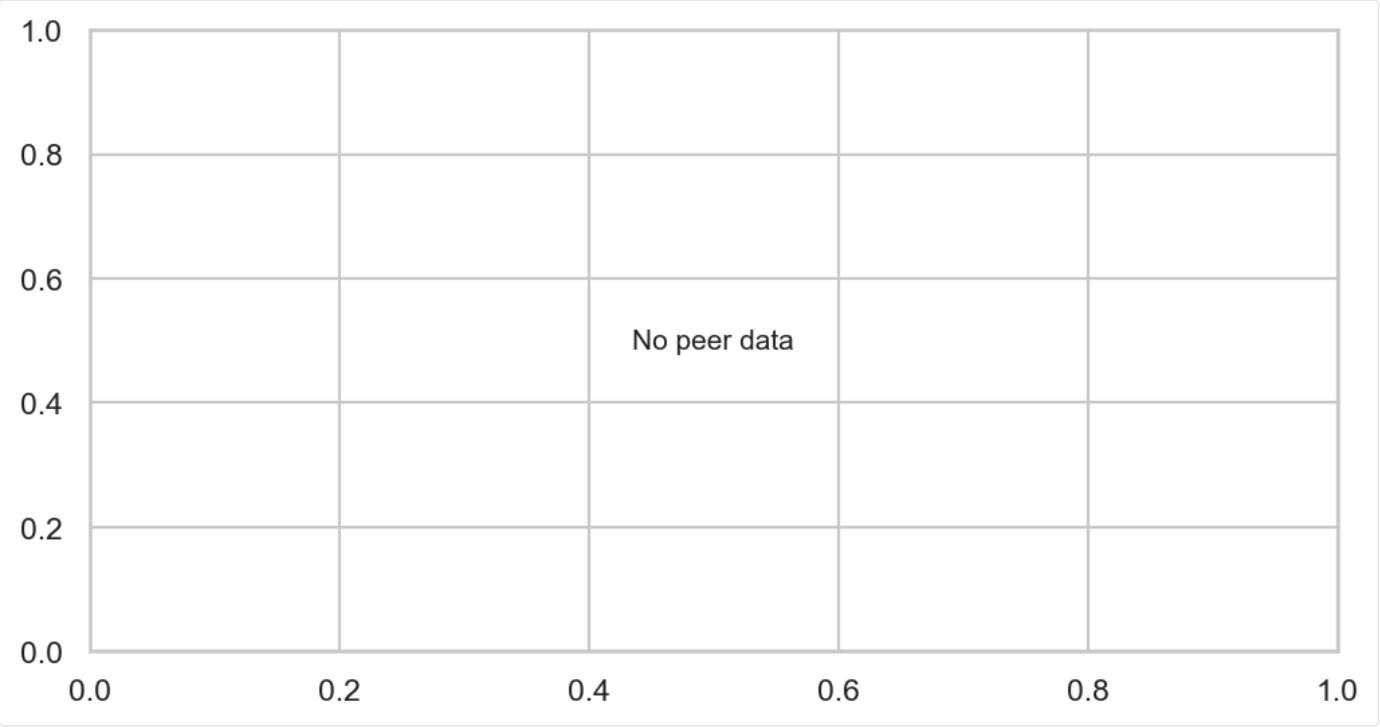
Year 1	Year 2	Year 3	Year 4	Year 5
6.91	7.45	8.33	9.05	9.56

SENSITIVITY — WACC × TERMINAL GROWTH



> **How to read:** each cell is the model's fair value per share under a different combination of WACC (row, discount rate) and terminal growth (column, long-run growth beyond the forecast window). Green = above current price (upside); red = below (downside). Baseline is the cell at the center row/column. Computed Python-side by re-running the DCF over a 5×5 grid — no LLM.

Peer Comparison & Industry Context



Source: EV/EBITDA ratio for each peer, pulled live from yfinance. The target ticker is highlighted in orange; the dashed red line is the median across the peer set. Peers are selected by GICS sector/sub-industry match (computed Python-side). A bar above the median suggests relative premium valuation; below the median suggests a relative discount on this multiple.

Competitive Positioning

Insufficient data to determine the competitive position of UNH relative to its peers.

Shareholder Meeting & Material Events

Sourced from SEC EDGAR filings (DEF 14A proxy statements and Form 8-K).

Shareholder Meeting (DEF 14A)

Filed Apr 21, 2026 — Accession 0001104659-26-046125

EXECUTIVE COMP.	**CEO base salary: $1,000,000 per year, no annual cash incentive**
GOVERNANCE	**Established a new Public Responsibility Committee, appointed F. William McNabb III as Lead Independent Director**

VOTING PROPOSALS

- Election of Directors
- Advisory Approval of Executive Compensation
- Ratification of Independent Registered Public Accounting Firm
- Adoption of a Policy to Require Any Board Chair to Be Independent

Recent Material Events (Form 8-K)

Date	Disclosure
2026-04-21	First quarter 2026 results

Investor Takeaways

- CEO transition with Stephen Hemsley's appointment
- Executive compensation changes to align with shareholder interests
- Governance enhancements with new Public Responsibility Committee

Ownership & Insider Activity

Insider transactions and institutional holdings from yfinance.

Holder Breakdown

0.00808	insidersPercentHeld
0.83959	institutionsPercentHeld
0.84643	institutionsFloatPercentHeld
4111.0	institutionsCount

Recent Insider Transactions

Insider	Position	Transaction	Shares	Date
HOOPER MICHELE J.	Director		206	2026-04-01
GOTTLIEB SCOTT	Director		320	2026-04-01
BAKER CHARLES D	Director		343	2026-04-01
GARCIA PAUL REU	Director		343	2026-04-01
NOSEWORTHY JOHN H	Director		320	2026-04-01
MONTGOMERY RICE VALERIE C	Director		343	2026-04-01
GIL KRISTEN	Director		320	2026-04-01
MCNABB FREDERICK WILLIAM III	Director		388	2026-04-01
FLYNN TIMOTHY PATRICK	Director		350	2026-04-01
DEVEYDT WAYNE S	Chief Financial Officer		149	2026-03-17

Top Institutional Holders

Holder	Shares	% Out	Value	Reported
Vanguard Group Inc	91600260	10.09%	$32.5B	2025-12-31
Blackrock Inc.	74743552	8.23%	$26.5B	2025-12-31
State Street Corporation	45232170	4.98%	$16.1B	2025-12-31
Capital World Investors	22591042	2.49%	$8.0B	2025-12-31
Geode Capital Management, LLC	21791590	2.4%	$7.7B	2025-12-31
Price (T.Rowe) Associates Inc	18829054	2.07%	$6.7B	2025-12-31
Capital International Investors	18655111	2.05%	$6.6B	2025-12-31
JPMORGAN CHASE & CO	17199093	1.89%	$6.1B	2025-12-31
Morgan Stanley	15790095	1.74%	$5.6B	2025-12-31
Wellington Management Group, LLP	15688774	1.73%	$5.6B	2025-12-31

Risks

Overall Risk Rating: MEDIUM

UnitedHealth Group Incorporated (UNH) faces various risks, including financial, operational, market, and macro risks. While the company's high enterprise value and potential cash flow concerns are notable, the overall risk rating is medium due to the company's stable projected revenue and FCFF growth.

Financial Risks

Risk	Severity	Likelihood
High Enterprise Value	**MEDIUM**	MEDIUM
Potential Cash Flow Concerns	**LOW**	LOW

Operational Risks

Risk	Severity	Likelihood
Margin Pressure	**MEDIUM**	MEDIUM

Market Risks

Risk	Severity	Likelihood
Pricing Pressure	**MEDIUM**	MEDIUM

Macro Risks

Risk	Severity	Likelihood
Interest Rate Sensitivity	**MEDIUM**	MEDIUM

Appendix — Assumptions, Sources, QC

Valuation Assumptions

Parameter	Value
revenue base	$447.6B
revenue growth rates	[0.1464, 0.0771, 0.1181]
operating margin	4.24%
tax rate	21.0%
capex to revenue	5.0%
depreciation to revenue	4.0%
nwc change to revenue	1.0%
risk free rate	4.34%
beta	40.8%
market risk premium	5.5%
cost of debt	5.0%
debt ratio	41.95%
terminal growth rate	2.5%
terminal method	gordon
exit ev ebitda multiple	15.0
shares outstanding	$908.2M
net debt	$48.0B
projection years	5

SEC Filings Referenced

Form	Filed	Accession
10-K	2026-03-02	0000731766-26-000062
10-K	2025-02-27	0000731766-25-000063
10-K	2024-02-28	0000731766-24-000081
DEF 14A	2026-04-21	0001104659-26-046125
DEF 14A	2025-04-21	0001104659-25-036829
8-K	2026-04-21	0000731766-26-000121
8-K	2026-03-09	0000731766-26-000067
8-K	2026-03-02	0000731766-26-000064
8-K	2026-02-25	0000731766-26-000046
8-K	2026-01-27	0000731766-26-000025

Automated QC Check

FLAGS FOUND — The valuation results for UNH have several issues that need to be addressed. The implied per-share fair value is not reasonable, the WACC is below the typical range, and the terminal value is an outsized portion of total value.

Issue	Severity	Detail
The implied per-share fair value is not reasonable given the per-share current price.	**HIGH**	Fair value implies a 25.89% downside from the current price.
The WACC is not in a reasonable range.	**MEDIUM**	WACC is 5.48%, which is below the typical range of 6-14%
The terminal value is an outsized portion of total value.	**MEDIUM**	Terminal value is $328.86B, which is approximately 114% of the equity value of $238.89B

Disclaimer. *This report is generated by an automated analysis system using publicly available data from SEC EDGAR, Yahoo Finance, and FRED. All numerical calculations are performed programmatically; narrative sections are authored by an LLM (Groq) using the provided data only. Nothing herein constitutes investment advice. Past performance does not guarantee future results. Always conduct independent due diligence before making investment decisions.*